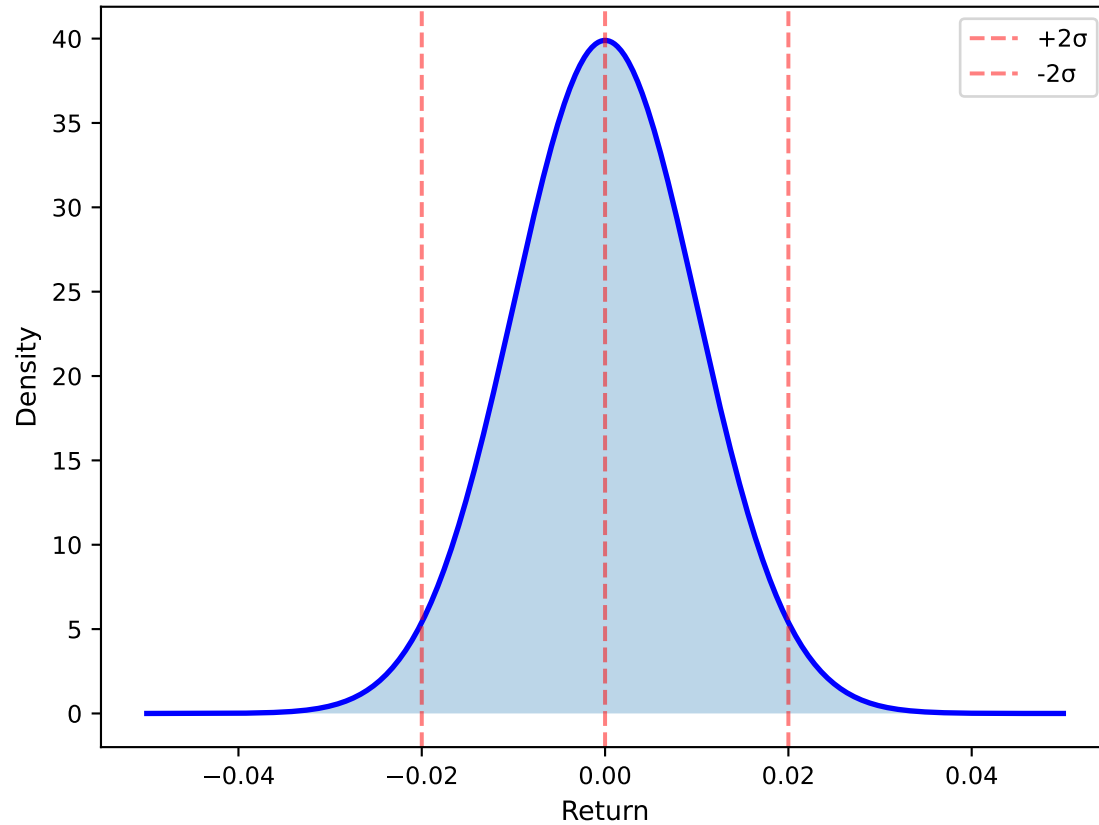
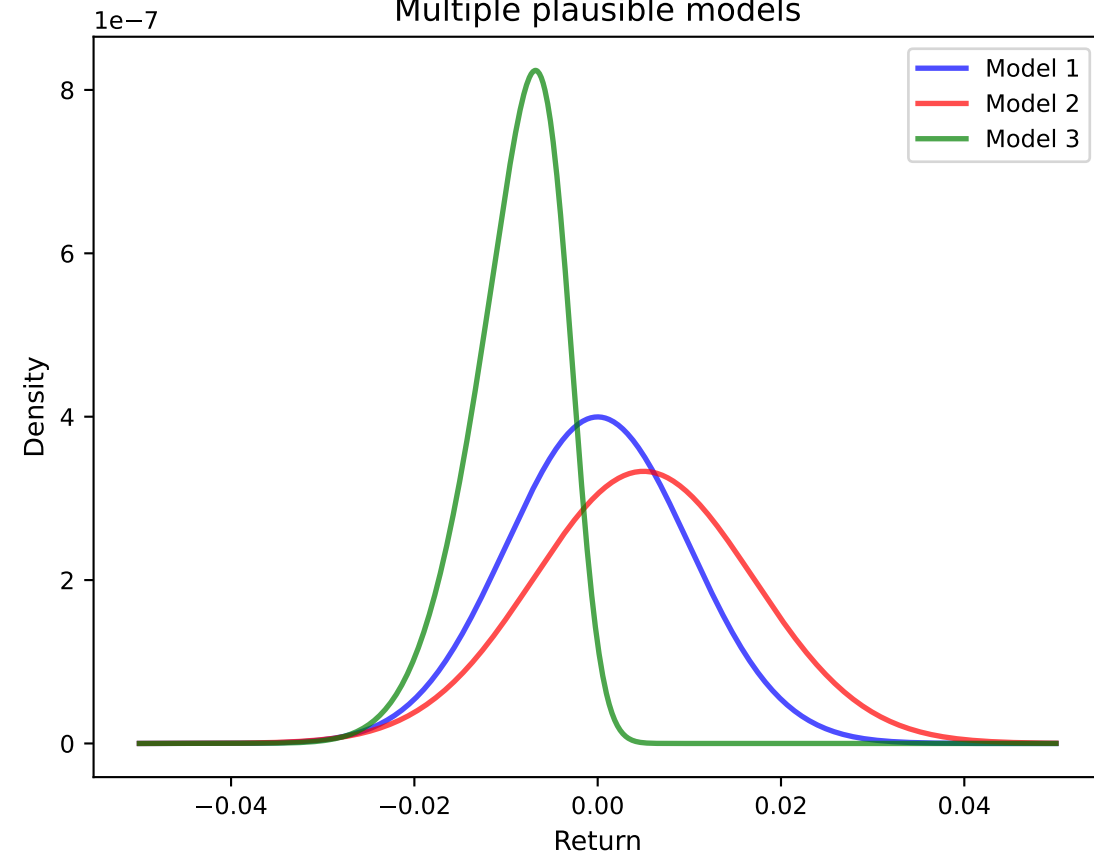


Risk vs Ambiguity: Conceptual Distinction

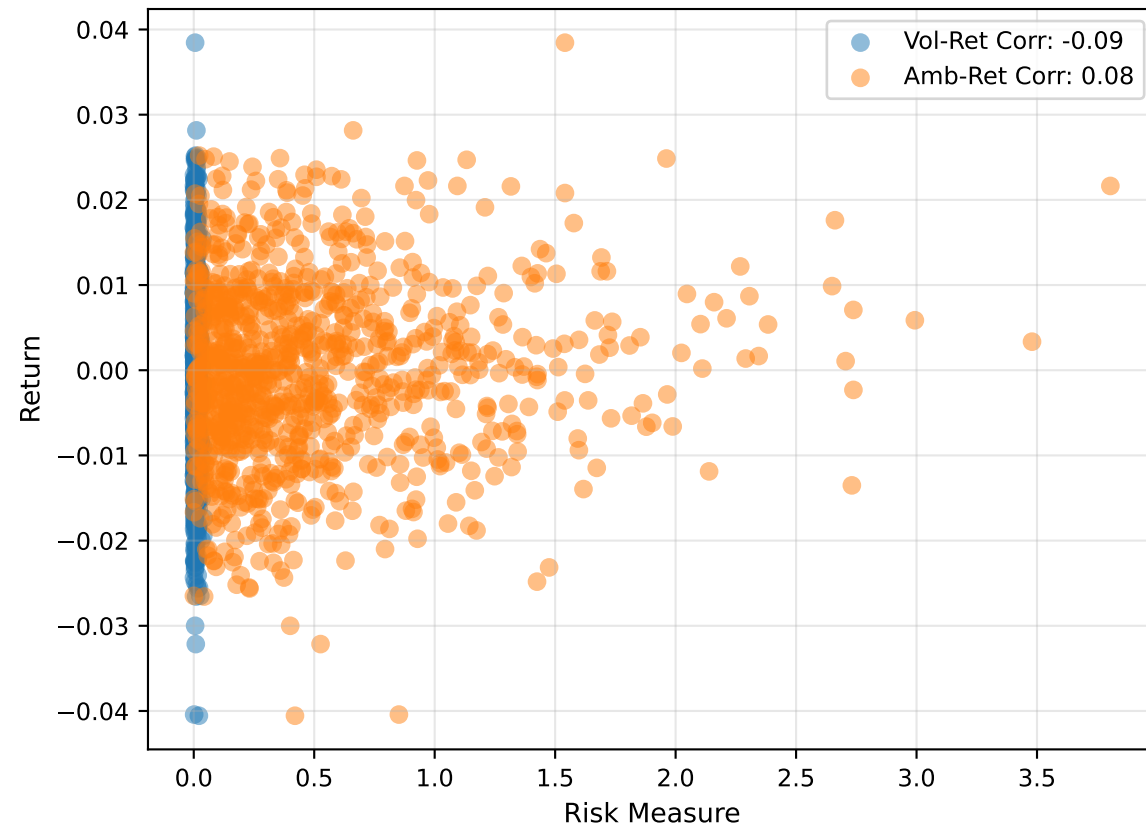
(a) Risk: Known Distribution
Volatility measures dispersion



(b) Ambiguity: Unknown Distribution
Multiple plausible models



(c) Correlation with Returns



Key Differences:

RISK:

- Known probability distribution
- Measures outcome dispersion
- Quantified by variance, VaR, etc.
- Decision: Portfolio optimization

AMBIGUITY:

- Unknown probability distribution
- Measures model uncertainty
- Quantified by KL divergence
- Decision: Robust optimization

Economic Implication:

Ambiguity aversion leads to additional risk premia beyond traditional risk compensation